

Global stocktake submission (19/CMA.1)

Climate institutions as indicators of progress towards implementation of the Paris Agreement

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Executive Summary

In directing climate action, states are faced with three core governance challenges - coordination, consensus building, and strategy setting. Successful implementation of ambitious near and long-term mitigation and adaptation targets under the Paris Agreement will therefore require robust institutional frameworks. Assessing national progress on institutional development could be advanced by the global stocktake, and is as crucial to the success of mitigation and adaptation goals as the assessment of policies and targets. Tracking institutional development is, however, complex because countries generally follow path-dependent institutional trajectories contingent on national context. With this important caveat, we present information to show that countries currently differ in their levels of climate institutional development along these three parameters.

Key Messages

- State capacity in the form of climate institutions capable of informing target-setting, converting targets to policies, assessing progress, and updating both targets and policies are critical to climate outcomes.
- Climate institutions develop in a variety of ways: some may be purpose-built to deliver climate goals; others are layered onto existing structures, thereby repurposing them to climate ends; and a third set are 'latent' institutions built to carry out unrelated sectoral activities that indirectly give rise to climate outcomes.
- Methodologies to assess institutional progress are best designed around the common governance challenges countries face rather than assessing conformity with ideal-type institutional structures.
- By shining a spotlight on both the need for and the arguably limited development of national climate institutions, the Global Stocktake could usefully prompt and accelerate the development of national climate institutional frameworks.

Introduction

Decision 19/CMA.1 - 36(b) notes that the Global Stocktake will consider information at a collective level on "overall progress made by Parties towards the implementation of their nationally determined contributions". Successful implementation of ambitious near and long-term mitigation and adaptation targets requires robust institutional frameworks that help set

targets based on appropriate knowledge, translate those targets into policy, and create a mechanism for review and update¹. Indeed, the Paris Agreement ratchet mechanism and ambition cycle are likely to work more effectively if such institutions exist in national governance systems of member states. However, underlying national institutions are at varying levels of development and sectoral coverage, as we point out in Table 1 (p.5). By shining a spotlight on both the need for and the seemingly limited development of national climate institutions, the Global Stocktake could usefully prompt and accelerate the development of national climate institutional frameworks.

Institutions must solve three core challenges

The goals of the Paris Agreement call for rapid society-wide transitions. States play a central role in steering sectoral policy outcomes through regulatory instruments and by directing markets and private capital towards climate goals. This creates a need for capacity and systems to envision long run transformations across policy areas and manage the consequences of implementing them. States are faced with three core governance challenges².

1. Coordination: Climate change is an all-of-government policy problem; both mitigation and adaptation require coordination across departments at national and subnational scales and between levels of government in federal systems. Mainstreaming climate policy can be substantially driven by climate institutions tasked with coordinating implementation in departments structured to address other policy concerns. But this can be politically challenging because competing interests can impede coordination actions.
2. Consensus building: The shift to low-carbon and net-zero pathways will create political winners and losers. Institutions can help build and establish climate-salient narratives and ideas that alter the framing of climate transitions to make them more politically durable, and by creating spaces for competing interests to bargain on policy goals.
3. Strategy development: Institutions must create credible, transformative pathways at sectoral and economy-wide scales. This involves establishing realistic short-term targets, robust processes for NDC updates to preserve the efficiency of the Paris Agreement's ratchet mechanism, and systems for monitoring and course correction.

Tracking institutional development

Tracking institutional development for the purposes of the global stocktake and national monitoring and evaluation is important but presents methodological challenges. Institutions – by which we mean rules, norms and procedures embedded in the organisational structure of a polity – develop in path-dependent ways that are contingent on local political contexts and institutional cultures. Tracking methodologies will therefore have to analyse a variety of institutional variables (eg. activity levels including frequency of meetings, reliability of knowledge outputs, staff capacity) rather than focus on conformity with ideal-type institutional structures.

¹ Dubash, "Varieties of Climate Governance."

² Dubash et al., "National Climate Institutions Complement Targets and Policies."

Moreover, defining what counts as a 'climate institution' is a challenge. Only considering institutions that are *intentionally* and explicitly established to address climate change leaves out many other existing institutions that have an *effect* on climate outcomes – positively or negatively. Consequently, we suggest a wide, encompassing approach to understanding climate institutions:

1. Institutions can develop through the creation of *purpose-built* climate bodies such as a climate cabinet or federal coordination platforms.
2. Institutions may develop through the *layering* of climate goals on pre-existing bureaucratic structures (such as by directing regulators to focus on climate rulemaking or by amending electricity legislation to promote renewables).
3. Climate ends can be served by *latent* institutions involved in the implementation of sectoral policies that are subject to political shifts unrelated to climate action (such as the promotion of forests).

These three processes represent ways in which climate institutions deepen and point to the fact that institutional structures carry varying degrees of intentionality in delivering climate outcomes. They also show why climate institutions can be hard to detect and urge an expansive understanding of institutions affecting climate outcomes.

These different varieties of institutional development are driven by variations in national context. Variations in political consensus on the urgency of climate action, bureaucratic and legal traditions, the efficiency of national legislatures, and exposure to global climate politics, among other things, determine which of these modes of change are most prevalent at a given point in time and how they are sequenced over time. For example, the UK has adopted an approach grounded in independent regulatory institutions³ while India⁴ and China⁵ have created and steered climate policies through powerful national bodies housed in the executive branch of government at various points. In Brazil⁶ and South Africa⁷, traditions of deliberation through institutional platforms have affected the shape of climate policy. Attempts at measurement will thus have to be sensitive to variations in form.

Current national progress

Table 1 below shows that countries are at varying levels of institutionalisation. Based on prior research⁸, we document the institutional structures of eight large countries, four developed and four developing, to show that they perform differently in meeting the three main climate governance challenges mentioned above - coordination, consensus building and strategy setting.

³ Lockwood, "A Hard Act to Follow?"

⁴ Pillai and Dubash, "The Limits of Opportunism."

⁵ Teng and Wang, "The Evolution of Climate Governance in China."

⁶ Hochstetler, "Climate Institutions in Brazil."

⁷ Tyler and Hochstetler, "Institutionalising Decarbonisation in South Africa."

⁸ Dubash et al., "National Climate Institutions Complement Targets and Policies."

Suggestions for the GST

The GST can usefully:

- Highlight the important complementary role of national climate institutions, alongside targets and policies, in achieving the objectives of the Paris Agreement.
- Provide a framework for understanding and defining climate institutions and their development over time through categories such as purpose-built, layered, and latent institutions.
- Encourage countries to monitor and report on institutional development using this framework, and focus on their role in addressing the climate governance challenges of coordination, consensus building and strategy setting.

Table 1. National climate institutions by governance function

Note: Italicised entries represent institutions that are no longer functional or in existence

	Coordination	Building Consensus	Strategy Setting
Australia	<i>Purpose-built:</i> • <i>Australian Greenhouse Office (1998-2010). Agency for climate policy formulation.</i> • Clean Energy Finance Corporation (2012-present). Funds renewable deployment. • Australian Renewable Energy Agency (2012-present). Funds renewable innovation. • Clean Energy Regulator (2012-present). Oversees emission reduction fund. • <i>Secretaries Group on Climate Risk (2017-2019). Inter-ministerial coordination body.</i> <i>Layering:</i> • <i>Department of Environment (1990-2008). Oversaw some of the minimal early national climate initiatives.</i>	<i>Purpose-built:</i> • <i>Climate Commission (2011-13). Provide information to the public.</i> • Climate Change Authority (2012- present). Established to provide scientific advice to Parliament on targets. • <i>Multiparty Committee on Climate Change (2010-2013). Build consensus amongst parliamentarians on a national climate strategy.</i>	<i>Purpose-built:</i> • <i>PM Task Group on Emissions Trading (2006-2007). Provide information on the creation of a national emissions trading scheme.</i> • <i>Department of Climate Change/Department of Climate Change and Energy Efficiency (2008-2013). Consolidated climate governance functions from Dept of Environment.</i> <i>Layering:</i> • <i>Clean Energy Act and Clean Energy Futures Package (2011-2014). Established carbon price.</i>

	• Department of Treasury (2007-2013). Helped develop the national carbon price. • Department of Agriculture, Water & Environment (2020-present). Oversees climate-related funding programs.		
Brazil	<i>Purpose-built:</i> • National Law on Climate Change (2009-present) preceded by a National Plan on Climate Change (2007). Codifies a sectoral framework. • Inter-Ministerial Committee (2007-present) under Presidency to oversee implementation. <i>Layering:</i> • Ministry of Environment: Coordinate Inter-Ministerial Committee • <i>Ministry of Science and Technology, Lead Inter-Ministerial Commission on Global Climate Change, focused on technology and CDM (2000-2019)</i> • Ministry of Economy. Exploration of carbon market. • Sectoral line ministries assigned targets and implementation requirements by 2009 law:	<i>Purpose-built:</i> • Brazilian Climate Change Forum (2000-present). Consultative body of state and civil society to generate and respond to policy proposals.	<i>Purpose-built:</i> • Inter-Ministerial Committee (2007) • Brazilian Climate Change Forum (2000) •

	• Ministry of Environment. Run biome protection programmes. • Ministry of Mines and Energy. Integrate climate change into energy planning • Ministry of Agriculture. Low Carbon Agriculture Plan. <i>Latent:</i> · Ministry of Environment. Action Plan for the Prevention and Control of Deforestation in the Amazon (PPCDAm) (2004-present). · Ministry of Agriculture, Sustainable Development Commission (2019). Taking forward carbon markets and monitoring, verification and reporting initiatives.		
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China	<i>Purpose-built:</i> ● Leading Group on Carbon Peaking and Carbon Neutrality (2021). ● <i>National Leading Group on Climate Change Response, Energy Conservation, and Emissions Reduction (2007-present).</i> ● <i>National Climate Change Response Coordination Group (1998-2007)</i> ● <i>National Climate Change Coordination Group (1990-1998).</i> <i>Layering:</i> ● Climate Change Department. Formulate and monitor climate policies (2007). Embedded in National Development and Reform Commission (2007-2018) and in Ministry of Ecology and Environment (2018-present). ● Anchor offices in sectoral ministries such as: National Energy Agency; Ministry of Industry and Information Technology; Ministry of Transport; Ministry of Housing, Urban and Rural Development.	<i>Purpose-built:</i> ● National Expert Committee on Climate Change. Deliberation among appointed experts. ● China Council for International Cooperation on Environment and Development. Platform for government engagement with international experts.	<i>Purpose-built:</i> ● Leading Group on Carbon Peaking and Carbon Neutrality (2021). ● <i>National Leading Group on Climate Change Response, Energy Conservation, and Emissions Reduction (2007-present).</i> ● <i>National Climate Change Response Coordination Group (1998-2007).</i> <i>Layering:</i> · Energy production and consumption transition strategy (2016-2030). · 14th Five-Year Plan and the Outline of the Long-term Goals for 2035.
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Germany	<i>Purpose-built:</i> • <i>Climate Cabinet. Coordination on Climate Protection Package 2030 and Climate Change Act (both 2019).</i> <i>Layering:</i> • Environment Ministry (BMU) (1990-onward). Manages several interdepartmental coordination processes on climate policy. • Sectoral targets and responsibilities allocated to relevant ministries through Climate Protection Plan 2050 (2016) via executive decision, and then via legislation of Climate Change Act (2019, 2021). • Energy: Ministry of Economic Affairs and Energy (BMWi). <i>Renewable energies in Federal Ministry for the Environment (BMU) from 2003-2012.</i> • Transport: Ministry of Transport and Digital Infrastructure (BMVI). • Buildings: Ministry of Interior, Building and Community (BMI) and Ministry of Economic Affairs and Energy (BMWi)”	<i>Purpose-built:</i> • Climate Protection Plan as part of Climate Change Act (2019). Mandates participatory consultation across jurisdictions and stakeholders. • ‘Coal Commission’ to pre-negotiate coal exit (2018-19), • National platform on future of mobility (since 2018) and other sector- or technology- specific stakeholder consultation bodies. <i>Layering:</i> • <i>Enquete Commission (1994): Cross party federal parliament process for establishing shared problem definition, narrative and climate targets.</i>	<i>Purpose-built:</i> • Energy Concept (2010). Sets long-term renewable targets, re-affirms long-term GHG targets. • Climate Protection Plan 2050 (2016). Sets medium-term targets for all sectors • Federal Climate Change Act (2019, 2021). Mandatory annual sectoral targets, long-term target, emissions review, sector-specific instant policy adjustment for missed sector targets, periodic review of Climate Protection Plan and Program. • Climate Protection Program 2030 (2019). Specifies national climate policy mix to achieve Climate Change Act targets. • Expert Advisory Council under Climate Change Act (2019, 2021). Reviews emissions and policies ex post and to a limited extent ex ante as basis for triggering instant sector-specific policy adjustment mechanisms.
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	● Agriculture: Ministry of Food and Agriculture (BMEL).		
India	<i>Purpose-built:</i> ● <i>Prime Minister's Office. Special Envoy on Climate Change (2007 – 2010). Coordinate National Action Plan.</i> ● Executive Committee for Climate Change (2013-present). Interministerial body for implementation of National Action Plan. ● Apex Committee for Paris Agreement (2020-present). Interministerial body for NDC implementation. ● Climate cells established in line ministries as part of National Action Plan to implement 'Missions' in power, agriculture, urban development etc. <i>Layering:</i> ● Ministry of Environment, Forests and Climate Change (formalised in 2014). Lead agency for climate policy-making.		<i>Purpose-built:</i> ● <i>Prime Minister's Council on Climate Change (2007-2015). Expert non-body for strategic discussions.</i> <i>Layering:</i> ● <i>Planning Commission. Formulated Low Carbon Strategy for Inclusive Growth (2014).</i> ● <i>Prime Minister's Special Envoy for Climate Change, as part of Prime Minister's Office.</i>

	<i>Latent:</i> ● Niti Aayog: A successor to the Planning Commission, has sought to develop initiatives in strategic areas such as electric vehicles and battery technology.		
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South Africa	<i>Purpose-built:</i> • Inter-Governmental Committee on CC (2008). Domestic policy and vertical coordination across government levels, meets infrequently. • Inter-Ministerial Committee on CC (2009). Horizontal coordination across ministries, did not include Energy or Treasury departments, inactive post-2011. <i>Layering:</i> • Dept of Environment. National Climate Change Response White paper (2011) and Draft Climate Change Bill 2018. • Treasury. Carbon tax Act 2019. <i>Latent:</i> • Dept of Energy. Integrated Resource Plans 2010, 2019. • Independent Power Producers Office (Under Dept Energy and National Treasury). Formulation of Renewable Energy Independent Power Producers Procurement Programme (2011). • Eskom: Responsible for key power sector decisions.	<i>Purpose-built:</i> • National Climate Change Committee (1994 – present). Consultative stakeholder platform. • Presidential Climate Commission (2020). <i>Layering:</i> • National Planning Commission: Consultative conference (2019) to propose a Presidential Co-ordinating Commission on Climate Change and routine engagement with climate change planning. • National Economic Development and Labour Council. Introduction of ‘Just Transition’ ideas through Jobs Summit 2018. Plays broader mediating and legitimating role on climate change.	<i>Purpose-built:</i> • <i>Long Term Mitigation Scenario Planning Process (2006-08)</i> • Presidential Climate Commission (2020). <i>Layering:</i> Department of Environmental. Long Term Mitigation Strategy (2006).
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UK	<i>Purpose-built:</i> ● Cabinet Committee on Climate Change (2019). Inter-departmental coordination. <i>Layering:</i> ● <i>Department of Food, Environment and Rural Affairs (2000 – 2008): Climate Change Programme to set and meet emission targets.</i> ● Department of Energy and Climate Change (2008) merged into Department of Business, Energy and Industrial Strategy (2016). Set and implement emission reduction policies. ● Ministry of Housing and Local Government, Department of Transport, and other line ministries. Responsibility for sectoral policy formulation and implementation. <i>Latent:</i> ● Treasury. role in shaping departmental agendas through spending control and introduction of a carbon price floor and climate change levy. ● Office of Gas and Electricity Markets. Regulates gas and electricity markets.	<i>Purpose-built:</i> ● Committee on Climate Change (2008). Limited formal deliberative role but serves as focal point for debate through analysis and wide networks.	<i>Purpose-built:</i> ● Climate Change Act (2008). Set goal of periodically revised emission reduction targets, supporting institutions, assessment, and reporting. ● Committee on Climate Change (2008). independent analytical body that recommends 5-yearly budgets.
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USA	<i>Purpose-built:</i> ● Global Change Research Act (1990). Created an inter-agency process to report on climate impacts. <i>Layering:</i> ● White House Offices. - <i>Presidents Coordinator for Climate Change (Clinton)</i> - <i>White House Office of Energy and Climate Change Policy (Obama)</i> - <i>State Department Special Envoy on Climate Change (Obama)</i> - <i>White House Office of Climate Policy and Special Presidential Envoy for Climate (Biden)</i> - <i>Special Presidential Envoy for Climate (Biden)</i> ● Environmental Protection Agency (2007). Legal authority to regulate greenhouse gases under <i>Mass vs EPA</i>. ● Assorted cabinet agencies (Energy, Transportation, Treasury). Layering of climate-related responsibilities during		<i>Layering:</i> ● White House Offices: - <i>Presidents Coordinator for Climate Change (Clinton)</i> - <i>White House Office of Energy and Climate Change Policy (Obama)</i> - <i>State Department Special Envoy on Climate Change (Obama)</i> - <i>White House Office of Climate Policy and Special Presidential Envoy for Climate (Biden)</i> - <i>Special Presidential Envoy for Climate (Biden)</i> ● Congressional Committees: - Select Committee on Energy Independence and Global Warming (2007-2011) - House Select Committee on the Climate Crisis (2019-)
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	Obama administration reversed during Trump administration, then deepened under Biden administration.		
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